

Brackenridge Civil Group Inc

www.brackenridgecivil.com

July 5, 2001

Debra Vasquez
Vice President of Finance
Esparza-Lamb

Dear Ms. Vasquez:

This letter sets out the terms on which our firm will prepare the site grading design for Esparza-Lamb, and it will stand as our agreement once you have signed and returned one copy. I have kept it plain, so that it records what we discussed and asks nothing you did not expect from that conversation.

Please read it against what we said to one another. If any term here reads differently from how you understood it, tell me before you sign, and I will put it right.

Scope of the Design

Our firm will prepare the site grading design for the property. The set will include the existing-conditions base, the grading plans, the spot and finished-floor elevations, the cut-and-fill earthwork scheme with quantities, the drainage details required to carry the site to design grade, and the erosion and sediment control notes that accompany a grading submittal. It will be prepared to the standard a municipal public works department expects at review, and the cover sheet will be issued under seal.

We will coordinate the Esparza-Lamb grading set with the roadway, stormwater, and utility sheets, so that the package is internally consistent when it is sealed and issued. Where our design meets work that is properly the site contractor's or another engineer's, our sheets will note the interface and stop there. The scope does not extend to construction-phase services or to material testing, which we would take up separately if you wished.

We will assemble the completed sheets as a submittal package suitable for the public works department's review, and we will respond to the review comments that come back on it as part of this design. Should the review take an unusual turn and require substantial rework, I will raise it with you before that work proceeds.

The design will move in the ordinary phases, from a preliminary grading concept you can react to, through a coordinated set, to the sealed drawings issued for permit and

construction. We will hold a short review with you at the preliminary stage, so that the direction is settled before the set is carried to completion.

How We Will Work

I walk a site before I draw it, and I run the earthwork quantities myself rather than accept a figure I have not checked. The design will proceed from the survey you provide and from our own field observations, and I will hold the set to what the ground will actually allow. Nothing leaves this office until it has been reviewed on my desk and I am satisfied it is right.

We will keep you informed as the design develops, in short progress reports and in meetings when a decision needs your input, and we will not let a question that is yours to decide sit unasked. The whole set is reviewed internally before it is issued, and I will not seal a sheet I have not satisfied myself is correct.

The Design Team

The drafting and design production will be carried by Linda Nguyen and Jason Jordan, our design technicians. Linda Nguyen will keep the grading set and the lettered project folder in order, and Jason Jordan will hold the roadway and site sheets and the standard details. I, Mark Todd, will direct the work and will review and seal each sheet before it leaves this office.

Fee and Schedule

Our fee for the design is \$54,500, a fixed amount for the scope described above. We will begin the work on July 15, 2001, and we expect the design to run about eight months from that date, subject to the timeliness of the survey and of the reviews on your side. If the scope changes in a way that affects the fee, I will raise it with you and we will settle it before the additional work begins.

Fees and Payment

We will invoice against the fee monthly as the work proceeds, and our invoices are due within thirty days of receipt. The fee covers our staff and their time. It does not cover out-of-pocket costs such as reproduction, delivery, agency and permit fees, or outside testing; those we bill at cost, and where they are of any consequence we will agree them with you before they are incurred. A small and routine cost we will simply carry on the next invoice.

Term and Termination

Either of us may end this engagement on fourteen days written notice. If Esparza-Lamb ends it, you will owe us for the work properly performed to that date and for costs already committed on your behalf, and nothing further. On termination we will deliver the work in progress in the form it then stands, and the drawings remain your property to the extent you have paid for them.

Confidentiality

We will treat the information you provide in the course of this work as confidential and use it only for the design. That obligation binds our whole staff and continues after the engagement ends. Drawings we seal and issue become part of the public project record in the ordinary course, and nothing in this paragraph restricts that.

Limitation of Liability

We will perform the design with the care and skill ordinarily exercised by civil engineers practicing in this area at this time, and we stand behind our work to that standard. We do not warrant the performance of contractors or others we do not control, nor the results of construction carried out from our drawings without our involvement. Our liability to you under this engagement is limited to the amount of our fee, except where the law does not permit such a limit.

Governing Law

This agreement is governed by the law of the state in which our firm practices, and any dispute under it will be heard in the courts of that state. Should any single provision be found unenforceable, the remainder of this letter stands.

If these terms reflect our understanding, please sign both originals below, keep one for your files, and return the other to this office. On receipt I will schedule the site walk, and the work will begin. I look forward to it.

Very truly yours,

Mark Todd

Principal Engineer

Date: July 5, 2001

Debra Vasquez

VP Finance, Esparza-Lamb

Date: July 5, 2001